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MAHATMA GANDHI UNIVERSITY, KOTTAYAM MGU-UGP (HONOURS) REGULAR /IMPROVEMENT/ REAPPEARANCE EXAMINATION NOVEMBER 2025 FIRST SEMESTER

Discipline Specific Core Course (DSC) - MG1DSCHBM100 FUNDAMENTALS OF HOTEL ACCOUNTING (2024 ADMISSION ONWARDS)

PART A

1. Account: Classified statement of transactions relating to a person or a thing or any other subject.
2. Accounting provides the standardized means by which a company's financial activities and health are recorded, summarized and communicated to internal and external stakeholders.
3. Ignore non-monetary factors, Historical cost principle, Use of estimate and subjectivity, Comparability issues.
4. Replaces memory, Provides control over asset, Facilitate a comparative study, Tax matters etc.
5. Incomplete record of business transactions are known as single entry,
6. Rules and guidelines that companies should follow while recording financial data.
7. Generally Accepted Accounting Principles.
8. The fundamental accounting concept that requires a business to use the same accounting methods, procedures and policies from one accounting period to the next -Consistency concept.
9. Financial accounting, Cost accounting and management accounting.
10. Cost concept: The company must record its assets, liabilities and equities at their original purchase price or cost price.
11. Personal account: Accounts related to natural persons, artificial persons and representative persons. Example : Rajus account, South Indian bank etc.
12. Nominal account: Accounts related to expenses, losses, income and gain. Example: Salary account, Rent account etc.
13. Real account rule : Debit what comes in and Credit what goes out.
14. Double entry : System which recognize and records both aspect of a transaction. According to this system for every debit there will be an equivalent credit.
15. Mercantile system : It records transactions when they occur, not when the cash related to them is actually received or paid.

PART B

16. Accounting is an art of recording, classifying and summarizing in a significant manner and in terms of money transactions and events which are in part atleast of a financial character and interpreting the result thereof.
    Objectives: a) To keep systematic records b) To ascertain the net result of business operations c) To ascertain the financial position of the business concern and d) To provide accounting information to interested parties.
17. Asset : Anything which has economic value (Land ,building etc.)

    Liability : Amount taken by business concern from outsiders other than owners. (Bnak loan, Bills payable etc.)

    Capital : Amount invested by the owner.

18. Characteristics of Accounting Principles:
    a) Relevance b) Objectivity c) Feasibility d) Man made, e) Flexibility
19. Asset = Liability + Capital
    Liability = Asset- Capital
    Capital = Asset-Liability
20. Advantage of double entry system:
    a) Ensures accuracy and completeness
    b) Facilitate the preparation of financial statements.
    c) Provides essential managerial information
    d) Enables control and prevents fraud
21. Systems of accounting:
    Cash system : It records revenues and expenses only when cash is actually received or paid.
    Accrual system: : It records transactions when they occur, not when the cash related to them is actually received or paid.

PART C

22. Scope of accounting:
    1. Identifying
    2. Measuring in terms of money
    3. Recording I Journal
    4. Classification through ledger
    5. Summarizing through financial statements
    6. Analyzing
    7. Interpreting
    8. Communicating-Reports.
23. Generally Accepted Accounting Principles
    Advantages:
    1. Consistency and comparability
    2. Transparency and reliability
    3. Regulatory and planning benefits

    Limitations:

    1. Inflexible
    2. Issues with asset valuation
    3. Complexity and cost
    4. Lack of global adoption
24. Types of Accounts:
    1. Real account- Account related to assets /goods/cash
       Ex: Land ,Building, furniture etc
       Rule: Debit what come in and Credit what goes out.
    2. Nominal account – Account related to expenses, losses, income and gain .
       Ex: Rent, Commission received etc.
       Rule : Debit all expenses or losses and Credit all income or gain.
    3. Personal account :- Account related to natural person, artificial person and representative persons.
       EX: Arun's account, ICICI bank etc.
       Rule : Debit the receiver and Credit the giver.

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